

KELANI TYRES PLC

(Reg: No. PQ 123)

INTERIM FINANCIAL STATEMENTS

FOR NINE MONTHS ENDED DECEMBER 31, 2022



Corporate Office
203, Union Place
Colombo 02.

KELANI TYRES PLC AND ITS GROUP
**CONSOLIDATED STATEMENT OF
COMPREHENSIVE INCOME**

(all amounts in Sri Lankan Rupees thousands)

	Group		Company		Group		Company	
	Apr. -Dec		Apr. - Dec.		Oct. -Dec.		Oct. - Dec.	
	2022	2021	2022	2021	2022	2021	2022	2021
	<i>(Un audited)</i>	<i>(Audited)</i>	<i>(Un audited)</i>	<i>(Audited)</i>				
Revenue	640	197,987	-	197,380	212	6,366	-	6,165
Direct costs	(292)	(184,968)	-	(184,312)	-	(5,825)	-	(5,606)
Gross margin	348	13,019	-	13,068	212	541	-	559
Other operating income	5,165	5,350	865,165	585,850	1,752	1,711	1,752	152,210
Administrative costs	(69,014)	(58,002)	(68,912)	(57,897)	(9,882)	(8,381)	(9,791)	(8,289)
Management Expenses	(41,667)	(36,589)	(41,667)	(36,589)	(18,311)	(16,076)	(18,311)	(16,076)
Depreciation	(13,404)	(13,083)	(13,404)	(13,083)	(4,551)	(4,363)	(4,551)	(4,363)
Operating profit	(118,572)	(89,305)	741,181	491,349	(30,780)	(26,569)	(30,901)	124,041
Finance Income	79,401	17,236	79,401	17,236	51,668	5,288	51,668	5,289
Finance costs	(14,904)	(5,073)	(14,904)	(5,073)	(5,051)	(1,810)	(5,051)	(1,810)
Profit/(Loss) before tax	(54,075)	(77,142)	805,678	503,512	15,837	(23,091)	15,716	127,520
Tax	-	-	-	-	-	-	-	-
Profit/(Loss) after tax	(54,075)	(77,142)	805,678	503,512	15,837	(23,091)	15,716	127,520
Share of results of JV	116,578	606,227	-	-	(229,936)	253,375	-	-
Profit/(Loss) for the period	62,503	529,085	805,678	503,512	(214,099)	230,284	15,716	127,520
Other comprehensive income:	-	-	-	-	-	-	-	-
Share of other comprehensive - -Income/expenses from Joint Venture	(8,194)	(2,032)	-	-	(1,997)	(700)	-	-
Total comprehensive income - -for the period, net of tax	54,309	527,054	805,678	503,512	(216,097)	229,585	15,716	127,520
Earning per share (for the period)	0.78	6.58	10.02	6.26	(2.66)	2.86	0.20	1.59

KELANI TYRES PLC AND ITS GROUP
CONSOLIDATED STATEMENT OF FINANCIAL POSITION

(all amounts in Sri Lankan Rupees thousands)

	Group		Company	
	31-12-2022	31-03-2022	31-12-2022	31-03-2022
	(un-audited)	(audited)	(un-audited)	(audited)
ASSETS				
Non-current assets				
Property, plant and equipment	30,245	38,118	32,810	40,391
Investment Property	559,500	559,500	559,500	559,500
Investments in subsidiaries	-	-	10	10
Investment in JV	4,539,589	5,291,205	139,607	139,607
	5,129,334	5,888,822	731,927	739,508
Current assets				
Trade and other receivables	285,270	430,615	285,057	430,416
Income Tax Refund	4,315	4,315	3,712	3,712
Financial assets at fair value through profit or loss	242,875	242,875	242,875	242,875
Cash and cash equivalents	542,594	101,412	539,067	98,134
	1,075,053	779,217	1,070,711	775,137
Total assets	6,204,387	6,668,038	1,802,639	1,514,645
EQUITY AND LIABILITIES				
Equity attributable to equity holders				
Stated capital	402,000	402,000	402,000	402,000
Revaluation reserves	24,691	24,691	24,691	24,691
Other reserves	801,127	801,127	-	-
Retained earnings	4,834,216	5,181,907	1,233,437	829,759
Total equity	6,062,034	6,409,726	1,660,128	1,256,450
Non - current liabilities				
Borrowings	833	833	833	833
Retirement benefit obligations	5,676	7,265	5,676	7,265
	6,509	8,098	6,509	8,098
Current liabilities				
Trade and other payables	53,124	152,611	53,281	152,495
Borrowings	2,500	10,000	2,500	10,000
Bank Overdraft	80,220	87,603	80,220	87,603
	135,844	250,214	136,001	250,098
Total liabilities	142,353	258,312	142,510	258,196
Total equity and liabilities	6,204,387	6,668,038	1,802,639	1,514,645
Net Asset Value Per share	75.40	79.72	20.65	15.63

I certify that these financial statements have been prepared in compliance with requirements of the Companies Act, No. 07 of 2007.

Sgd

P. R. Mann

Finance Officer

The Board of Directors is responsible for the preparation and presentation of these Financial statements.

Sgd

Rohan T. Fernando

Managing Director

24th January 2023

Sgd

(Mrs). S. S Jayatilaka

Director

KELANI TYRES PL AND ITS GROUP

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

(all amounts in Sri Lanka Rupees Thousands)

Company

	Stated capital	Revaluation Reserve	Other Reserve	Retained Earnings	Total
Balance at 1 April 2021 (audited)	402,000	24,691	-	666,072	1,092,763
Profit for the Period	-	-	-	503,512	503,512
Dividend paid	-	-	-	(402,000)	(402,000)
Balance at 31st Dec. 2021 (audited)	402,000	24,691	-	767,584	1,194,275
Balance at 1 April 2022 (audited)	402,000	24,691	-	829,759	1,256,450
Profit for the Period	-	-	-	805,678	805,678
Dividend paid	-	-	-	(402,000)	(402,000)
Balance at 31st Dec. 2022 (Un-audited)	402,000	24,691	-	1,233,437	1,660,128

KELANI TYRES PL AND ITS GROUP

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

(all amounts in Sri Lanka Rupees Thousands)

Group

	Stated capital	Revaluation Reserve	Other Reserve	Retained Earnings	Total
Balance at 1 April 2021 (audited)	402,000	24,691	801,127	4,762,085	5,989,904
Profit for the Period	-	-	-	529,085	529,085
Other comprehensive income	-	-	-	(2,032)	(2,032)
Dividend paid	-	-	-	(402,000)	(402,000)
Balance at 31st Dec. 2021 (audited)	402,000	24,691	801,127	4,887,139	6,114,958
Balance at 1 April 2022 (audited)	402,000	24,691	801,127	5,181,907	6,409,726
Profit for the Period	-	-	-	62,503	62,503
Other comprehensive income	-	-	-	(8,194)	(8,194)
Dividend paid	-	-	-	(402,000)	(402,000)
Balance at 31st Dec. 2022 (Un-audited)	402,000	24,691	801,127	4,834,216	6,062,034

KELANI TYRES PLC AND ITS GROUP

Cash flow statement

(all amounts in Sri Lankan Rupees thousands)

	Nine months ended 31st Dec. 2022		Nine months ended 31st Dec. 2021	
	Group	Company	Group	Company
Cash flows from operating activities				
Cash generated from (used in) operations	(59,020)	(59,269)	(213,411)	(213,781)
Interest received	79,401	79,401	17,236	17,236
Interest paid	(14,904)	(14,904)	(5,073)	(5,073)
Gratuity paid	(1,589)	(1,589)	(404)	(404)
Net cash generated from (used in) operating activities	3,888	3,639	(201,652)	(202,023)
Cash flows from investing activities				
Purchases of property, plant and equipment	(5,823)	(5,823)	(343)	(343)
Dividend received	860,000	860,000	580,500	580,500
Net cash (used in)/generated from investing activities	854,177	854,177	580,157	580,157
Cash flows from financing activities				
Dividend payment	(402,000)	(402,000)	(402,000)	(402,000)
Change in Bank borrowings	(7,500)	(7,500)	(7,500)	(7,500)
Net cash (used in)/generated from financing activities	(409,500)	(409,500)	(409,500)	(409,500)
Net (decrease)/increase in cash and cash equivalents	448,565	448,316	(30,995)	(31,366)
Movement in cash and cash equivalents				
At the start of period	13,809	10,532	339,217	336,239
(Decrease)/increase	448,565	448,316	(30,995)	(31,366)
At the end of period	462,374	458,847	308,221	304,873

KELANI TYRES PLC AND ITS GROUP

NOTES TO THE INTERIM FINANCIAL STATEMENTS:

(all amounts are in Sri Lanka Rupees thousands)

1 General Information

Company

The company is a limited liability company incorporated and domiciled in Sri Lanka and listed on the Colombo Stock Exchange. The address of its registered office is P.O.Box 8, Nungamugoda, Kelaniya.

Group

Joint Venture (JV):

The JV's principal activity is the manufacture of tyres and tubs locally and its sale thereof locally and internationally.

Subsidiary company:

The principal business activity is to hire out motor vehicles.

2 Basis of preparation

The Interim Financial Statements have been prepared in compliance with Sri Lanka Accounting Standard (LKAS-34) Interim Financial reporting. These interim financial statements should be read in conjunction with the annual financial statement for the year ended 31 Mar. 2022,

3 Significant Accounting Policies

The Company has adopted consistent accounting policies and method applied for the year ended 31st March 2022 and the presentation and classification of the financial statements of the previous year have been amended where relevant for better presentation and to be comparable with those of the current year.

4 Stated Capital

Stated Capital represented by issued shares is given below:

	12/31/22	12/31/21	3/31/22
Ordinary shares as at	80,400	80,400	80,400

5 There have been no other events subsequent to the Balance Sheet date, which require disclosure in the Interim Financial Statements.

6 Provision was made for taxation by joint venture CEAT SRI LANKA as follows:

	Rs.
Profit before Tax JV	1,538,778
Less: Provision for Tax	(1,305,622)
Profit after Tax	233,156

7 There were no Contingent Liabilities or Contingent Assets since the Balance Sheet date.

8 There were no Liability towards Management fee or any similar expenditure not provided for in the Interim Financial Statements.

9 Dividend per share

	Group		Company	
	12/31/22	12/31/21	12/31/22	12/31/21
Dividend received from the JV	860,000	430,000	860,000	430,000
Dividend declared & paid to shareholders	402,000	402,000	402,000	402,000
Number of shares in issue (thousands)	80,400	80,400	80,400	80,400
Dividend per share - (Rs.)	5.00	5.00	5.00	5.00

10 The figures have been presented in these financial statements are provisional and subject to audit, and also comparative figures have been reclassified where necessary.

11 Market price per share:

for the Nine months ended 31st Dec.

	2022	2021
	Rs.	Rs.
Highest Price (19/10/22 & 23/12/21)	74.50	105.00
Lowest Price (21/11/22 & 23/11/21)	50.20	79.00
Last Traded Price	58.00	98.60

KELANI TYRES PLC
TOP 20 SHARE HOLDERS LIST
AS AT 31-12-2022

No.	Name	No of Shares	%
1	SILVERSTOCK LIMITED	37,977,494	47.236
2	BANCK OF CEYLON A/C CEYBANK UNIT TRUST	6,123,886	7.617
3	MR. H. M. UDESHI	4,529,855	5.634
4	EMPLOYEES TRUST FUND BOARD	2,835,639	3.527
5	MR. R. C. D. DE SILVA	2,000,000	2.488
6	EMPLOYEE'S PROVIDENT FUND	1,553,800	1.933
7	BANK OF CEYLON ACCOUNT CEYBANK - CENTURY GROWTH FUND	1,011,585	1.258
8	MRS. T. T. A. DE SILVA WEERASOORIYA	622,612	0.774
9	MOULDEX (PVT) LTD	600,000	0.746
10	MR D.K. A.K WEERATHUNGA	579,050	0.720
11	MR N. PUSPARAJ & MRS K. PUSPARAJ	550,000	0.684
12	ACUITY PARTERS (PVT) LTD/MR SUBRAMANIAM VASUDEVAN	483,392	0.601
13	SAMPATH BANK PLC/ ARUNA ENTERPRISES (PVT) LTD	437,600	0.544
14	J. B. COCOSHELL (PVT) LTD	435,888	0.542
15	MR. H. S. GUNASEKERA	386,387	0.481
16	DR T. SENTHILVERL	379,212	0.472
17	SANASA LIFE INSURANCE COMPANY LTD(LIFE)	378,543	0.471
18	MR. B POBRAN	350,240	0.436
19	RANSIRI ENTERPRISES PRIVATE LIMITED	310,000	0.386
20	MRS. N MULJIE	290,694	0.362

PUBLIC HOLDING

The percentage of shares held by the public as at 31st December 2022 is 50.239% comprising of 9,658 shareholders
(31st December 2021 - 51.780% comprising of 9,627 shareholders)

FLOAT ADJUSTED MARKET CAPITALIZATION AS AT 31ST DECEMBER 2022 - RS. 2,342,746,034/00

The Company is in compliance with Option 5 of Rule 7.14 1 (I) of the Listing Rule of the Colombo Stock Exchange pertaining to minimum public holding.

SHARE HOLDINGS BY THE DIRECTORS AS AT 31ST DECEMBER 2022

Names of Directors	No of Shares as at 31st Dec. 2022	%
Mr. Chanaka De Silva	2,000,000	2.488%
Mr. Rohan T. Fernando	Nil	Nil
Mr. T. Bevan Perera	1,920	0.002%
Mr. D. S. Kamantha Amarasekera	Nil	Nil
Mrs. S. S. Jayatilaka	240	0.000%
Mr. Eraj T. Fernando	24,553	0.031%
Mr. R. P. Weerasooria	Nil	Nil

KELANI TYRES PLC AND ITS GROUP*NOTES TO THE INTERIM FINANCIAL STATEMENTS (cont.):***Joint Venture Performance**

The assets and liabilities and the income and the expenses of the Joint venture as follows:

Summarised Financial Position

	31-12-2022	31-12-2021
Non-Current Assets	7,535,867	7,278,809
Current Assets	10,747,512	9,095,031
Total Assets	18,283,379	16,373,840
Capital and Reserves	9,079,177	10,116,621
Non-Current Liabilities	1,768,218	1,249,838
Current Liabilities	7,435,984	5,007,381
Total Equity & Liabilities	18,283,379	16,373,840

Summarised Income Statement

	2022 Apr. to Dec.	2021 Apr. to Dec.
Production (MT)	8,378	14,602
Total Sales (MT)	7,848	14,683
Domestic Sales	10,927,981	11,198,270
Export Sales	911,338	647,892
Total Sales	11,839,319	11,846,161
Cost of Sales	(8,431,028)	(9,119,664)
Gross Profit	3,408,292	2,726,498
Distribution/Administrative Cost	(2,042,219)	(1,088,546)
Finance Cost less income	125,523	95,363
Other Operating Income	47,182	(1,946)
Pofit BeforeTax	1,538,778	1,731,369
Taxation	(1,305,622)	(518,915)
Profit for the period	233,156	1,212,454
Other Comprehensive income/(Expenses)	(16,388)	(4,063)
Total Comprehensive income	216,767	1,208,391